



STEEL AUTHORITY OF INDIA LIMITED
SALEM STEEL PLANT

PURCHASE REQUISITION

Purchase Dept Reference Number

A612002

Date

12/04/25

Indentor's Reference No.:

SMS/25/002

Date:

11/04/2025

Department:

SMS - OPN

Cost Centre:

3500

Indentor's Prev. Ref.:

SMS/23/075 14/03/2024

Previous A/T Number:

A412032F1

Date:

24/03/2025

Classification of Items:

Raw Materials

Nature of Indent:

Budget Sanctioned: Rs.19,15,49,00,000

Cum Val of UNREGISTERED Indents 1,32,27,32,800
Cumulative Value of Indents Processed so far: Rs. 2,83,20,000

Cum Val of A/Ts Placed

0

Balance budget amount

17,80,38,47,200

Special Relevant Factor:

Sl. No.	Material Code	Description of the Material	Unit Code	Quantity	Estimated Total Value on Landed Cost Basis (Rs.)	Dely Weeks	Stock Quantity	Quantity Pending for Supply	Estimated Annual Consumption	Unit
1	135010000304	MS SCRAP - SHREDDED NON-CRITICAL/ EXISTING ITEM / CENVAT / Total:	084 NON-IPSS	31000.00	1,32,27,32,800 1,32,27,32,800	12 M	4967.299	910.060	25934.00	MT
Special Instructions : ===== 1. LIST OF ANNEXURES: A) ANNEXURE -1: JUSTIFICATION B) ANNEXURE -1A: COPY OF APPROVAL FOR TASK FORCE COMMITTEE RECOMMENDATIONS B) ANNEXURE -2: ESTIMATION SHEET C) ANNEXURE -3: TECHNICAL SPECIFICATION D) ANNEXURE -4: ELIGIBILITY CRITERIA E) ANNEXURE -5: DELIVERY AND SPECIAL TERMS AND CONDITIONS 2. MODE OF TENDER: OTE THROUGH EPS (M-JUNCTION) 3. TOLERANCE ON QUANTITY FOR AT PLACEMENT: UPTO +/- 25% AT THE SOLE DISCRETION OF SSP 4. TOLERANCE ON QUANTITY TO BE SUPPLIED: UPTO +/- 10% OF ORDER QUANTITY OR 20 MT, WHICHEVER IS LOWER. 5. ORDER SPLITTABILITY: THE ITEM QUANTITY CAN BE SPLIT AS PER MSE PREFERENCE. 6. ORDER DISTRIBUTION: ORDER SHALL BE PLACED ON MAXIMUM THREE PARTIES. 7. SECURITY DEPOSIT: SECURITY DEPOSITE SHALL BE OBTAINED FROM SUPPLIER. 8. RA FREQUENCY: Once in a month or as per SSP's production requirement. Quantity for each price discovery shall be regulated depending on the stock, pending supply and production requirement prevailing during each price discovery cycle.										

It is certified that the expenditure involved and to be incurred has the sanction of the Competent Authority and has budget provision / is in anticipation of budget provision being made for Financial Year.

25-26

Signature of Indenting Officer:

Name :

Designation :

Recommended
Signature:

THANIYARASU M N

Name: KANNAN S

Designation: GM I/C (SMS)

INDENT SCREENING COMMITTEE

GM (SMS-O)

The Indent is hereby cleared (as per the Check List) for the approval of the Competent Authority.



Signature of COMPETENT AUTHORITY:

Name :

Designation :

RAVI CHANDER DV

CGM (MAINT. Steel & Proib

Chairman (ISC)

Member (F & A)

Member (Inspection)

Member (Purchase)

Justification for procurement of MS-Shredded Scrap

Sl. No.	Description	Value
1	Annual requirement of MS Scrap for production of 1,80,000 MT as per ABP for FY 2025-26 enclosed with Task Force recommendation – please refer to Annexure -1A	86,448 MT
2	Annual requirement of MS-Shredded scrap for production of 180000 MT @ 30% of total MS-scrap (Sl. No.: 1 x 0.30)	25934 MT
3	Average monthly requirement considering production of 15000 MT per month (Sl. No.: 2 / 12)	2161 MT
4	Average MS-Shredded scrap requirement per converter (Sl. No.:34 / 2), considering production of 24 converters per year	1080 MT
5	Stock of MS-Shredded scrap (MS Light Scrap) as on 11.04.25*	2494 MT
6	Pending supply of MS-Shredded scrap as on 11.04.25*	281 MT
7	Quantity of MS-Shredded scrap pending for procurement vide indent no.: SMS/24/033 dated 12.11.2024	1000 MT
8	Stock, pending supply against existing order and orders to be placed vide indent no.: SMS/24/033 dated 12.11.2024 as on 11.04.25* (Sl. No.: 5 + Sl. No.: 6 + Sl. No.: 7)	3775 MT
9	Sufficiency of MS-Shredded scrap considering stock & pending supply (Sl. No.: 8 / Sl. No.: 3)	1.75 months i.e. up to May'25
10	Projected requirement of MS-Shredded scrap from Jun'25 to May'26 (Sl. No. 2) considering production of 1,80,000 MT per year	25934 MT
11	Quantity required as safety stock i.e. 5 converters requirement (Sl. No.: 4 x 5)	5400 MT
12	Net requirement, rounded off value of Sl. No.:10 + Sl. No.:11	31000 MT

Note:

* For scrap items, SIV is given at the end of converter depending upon consumption. Hence, there will be a mismatch in stock quantity indicated in the purchase requisition sheet when compared with above table.

Quantity of MS-Shredded scrap approved for procurement as per the Task Force Committee Recommendations is 31000 MT. Copy of the approval is attached as **Annexure-1A**.

Techno-commercial evaluation of offers will be done for the first price discovery and the techno-commercially qualified suppliers will be considered as empanelled suppliers. Offers of the empanelled suppliers will be accepted for subsequent price discoveries without evaluation.

Justification for procurement of MS-Shredded Scrap through EPS (M-junction)

MS-Shredded Scrap (MS light scrap) is essential to achieve a proper scrap mix and is used in production of each and every heat in SMS. Procurement of MS-Shredded scrap is dynamically regulated with a provision to conduct multiple price discoveries as per SSP production requirement. Normally, price discoveries of MS-Shredded scrap are made once in a month and supplies are regulated based on stock position, production trend and space availability at Open Scrap Yard.



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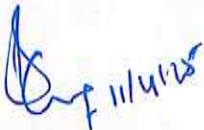
Though there are many suppliers of MS scrap who are familiar with SSP's requirement pattern and specifications, procurement through EPS (M-junction) platform is a necessity to ensure timely availability of scrap for smooth running of SMS and also lesser time cycle of procurement.

If we were to process scrap tenders through GeM, then it would result in delay in order placement and consequently failure to build up stock. In case of GeM, we will require a minimum of one month from date of tender to place order even if various stages of procurement like RA happen as per plan.

As prices of scrap items are highly volatile, scrap suppliers insist on SSP to place orders within 15 days of tender which is not possible in case of GeM. Procurement through EPS (M-junction) is flexible. For example, tender opening period can be kept less than 10 days in case of EPS (M-junction) while it is not possible to have tender opening period less than 10 days in case of GeM.

MS-Shredded Scrap being an essential item required for steel making at SMS, it is necessary to ensure its regular availability, dynamically regulating its procurement and delivery.

In view of the above, it is proposed to procure MS-Shredded Scrap through EPS (M-junction) platform on OTE basis.



GM I/c (SMS)



M.N. Thaniyarasu
GM (SMS-Opn)



Steel Scrap

SSP

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Initiator :

THANIYARASU M N

PN: D001022 ,GM(SMS-OPN)

Department:

HQ/SMS OPERATION/SMS OPERATION

Ref: SSP/SLM/SMO/GEN/2024/208

Date: 29-03-2025

Subject: Task Force Recommendations for Procurement of Scrap for SMS

Background of the Proposal

1. Committee deliberated on MS and SS Scrap requirement, strategy for purchase, future development of suppliers, etc. for Stainless Steel making at Steel Melting Shop (SMS) for the slab production planned for the year 2025-26. Following are the recommendations related to the procurement of MS and SS Scrap.

2. Based on the Annual Business Plan (ABP) of slab production 1,80,000 MT for the year 2025-26 (Copy attached as **Annexure-1**), annual procurement quantities of MS and SS Scrap to be procured through outside agencies (as per **Annexure-2**) are listed below.

Sl. No.	Material code	Item name	Requirement as per ABP for FY 2025-26 plus Safety stock	Total Quantity recommended for procurement (incl. safety stock) in MT
1	135010000304	MS Scrap - Shredded	31337	31000
2	135010000303	MS Scrap - Bundles	62675	60000
3	135010000305	MS Scrap - HMS-1	10446	9000
4	* 135010000312 & 135010000350	SS Scrap - 300 series	21746	21000
5	135010000344	SS Scrap - 409 Grade	24605	23000
6	135010000347	SS Scrap - 200 series	13638	12000

* MC No.: 135010000312 correspond to SS Scrap - 300 series in compact forms and MC No.: 135010000350 correspond to SS Scrap - 300 series in various forms including Pipes/Rods.

SMS requirement of MS and SS scrap is in line with the ABP for 2025-26 for a slab production of 180000 MT at SMS and Safety stock.

Total quantity recommended for procurement of each item is based on the ABP after considering existing stock at SMS and pending order quantity. However, pending indent quantity is not considered for arriving at the requirement quantity considering the uncertainties in progress of tenders and order placements. Details are as per **Annexure-2**. Total recommended quantities for the items are subject to the approval of 1,80,000 MT as ABP for 2025-26. In case of any revision in the ABP, these quantities will be revised accordingly.

The procurement quantity of each type of scrap and their proportion can be varied as per the receipt of IPT scrap and the restriction related to trace elements like Phosphorus required in grades produced at SMS. Proper justification shall be given for the same while raising indent. For example, procurement of MS-HMS scrap may be substituted by MS-Bundle scrap or MS-Shredded scrap.

a. Requirement of Scrap is subject to change based on grade mix planned for production.

b. Procurement of different types of MS scrap will increase/decrease depending on procurement of SS scrap items.

- c. Proportion of SS scrap procurement also may vary depending on the grades produced, internal scrap generation and scrap received as rejections from outside agencies.
- d. Scrap requirement is in line with the ABP for 2025-26 for a slab production of 180000 MT at SMS considering safety stock for 5 converters.
- e. Indents shall be raised based on the stock position and production requirement in line with the above table.
- f. Estimation in **Annexure-2** has been made as per the Last Purchase Price (LPP) and hence subject to change during the time of indents.
- g. Indent shall be raised with provision of multiple RAs so as to conduct RA every fortnight or every month or as per requirement of SMS, which may vary based on the stock, pending supply and quantity requirement to ensure continuity in operations. The indent shall be valid till the completion of procurement of the indented quantities.

3. List of items covered in Task Force with their RA frequency.

Sl. No	Material code	Item name	Unit	RA Frequency per indent (tentative**)
1	135010000304	MS Scrap -Shredded	MT	Once in a month
2	135010000303	MS Scrap -Bundles	MT	Once in a month
3	135010000305	MS Scrap -HMS-1	MT	Once in a month
4	135010000312 & 135010000350	SS Scrap- 300 series	MT	Once in a month
5	135010000344	SS Scrap- 409 Grade	MT	Once in a month
6	135010000347	SS Scrap- 200 series	MT	Once in a month

** RA quantity and frequency of RA are subject to changes based on production requirement.

4. For cases with multiple RA provision: Techno-commercial evaluation will be done for the first RA and the techno-commercially qualified suppliers will be considered as "Empanelled suppliers" with validity of one year from the date of empanelment. In case of pending indent quantity, suitable extension for empanelment validity shall be obtained. Offers of the empanelled suppliers will be accepted for price discoveries (RAs) during the period of validity. For subsequent price discoveries (RAs), techno-commercial evaluation shall be done for the offers from new suppliers only. Upon successful techno-commercial evaluation, the new suppliers will be added to the list of "Empanelled Suppliers" and then RA shall be conducted.

5. Last Purchase Price shall be considered as the basis of estimate for the subsequent RA/comparison purpose.

6. Considering the limited availability of SS scrap items, and the need to ensure their uninterrupted supply for smooth functioning of SMS, the no. of sources for order placement for SS scrap items shall be maximum 4: with the following capping for minimum offered quantity:

1. SS Scrap- 300 series : 780 MT
2. SS Scrap- 409 Grade : 840 MT
3. SS Scrap- 200 series : 450 MT

The above indicated capping quantities are with respect to the monthly RA quantities.

No. of sources for order placement for MS scrap items shall be maximum 3 without any capping on the minimum offered quantity.

7. Normally, indents for task force items shall be raised to meet annual requirements. In case of any exigencies due to issues in supplies from existing suppliers like non-supply or slow rate of supply, parallel indents may be processed to ensure continuous running of SMS.

8. Supply tolerance quantity clause shall be incorporated in the order so as to facilitate completion of supply. 10% of order quantity or 20 MT, whichever is lower, shall be used as supply quantity tolerance. If balance quantity of an order is less than the supply tolerance quantity, then the order may be short-closed.

a) If a supplier fails to complete supply within delivery schedule of Purchase Order upon considering the supply tolerance quantity, unless the delivery schedule has been extended by SSP or force majeure clause is applicable, then necessary action will be initiated against the supplier as per PCP.

b) Supply of Scrap items shall be staggered and made in a phased manner. Only the suppliers who have completed supply of minimum 75% of the order quantity within delivery schedule of Purchase Order, unless the delivery schedule has been extended by SSP or force majeure clause is applicable, shall be eligible to participate in the subsequent price discoveries (RA).

9. Committee recommends incorporation of acceptance limits with penalty/rejection criteria for size deviations in the Technical Specification of MS-CRC/HRC Bundle scrap.

10. If any new type of suitable scrap is available in the market, then the same may be procured with approval of Competent Authority.

11. For indents pertaining to Task Force items, the Task Force will operate as Screening Committee. All indents based on Task Force recommendations shall be forwarded to MM-Purchase department directly through concerned CGM, accompanied by a copy of recommendations of Task Force approved by Competent Authority.

12. Recommendations of the task force may be reviewed annually.

13. List of empanelled suppliers, Technical Specification and Eligibility criteria for the items covered under Task Force are enclosed as **Annexure-3**, **Annexure-4** and **Annexure-5** respectively. Qualifying limits (both Technical and Financial) specified in **Annexure-5** are subject to change during the time of indents depending on indent quantity and RA frequency.

Submitted for approval.

Approval Sought for

The above recommendations of Task Force committee for Scrap procurement of SMS for FY 2025-26 may be approved.

Forwarded on behalf of GM I/c (SMS), Office order copy enclosed.

DOP / Manual / Circular Ref & Approver

ED

GM-I/c(SMS)/GM-I/c(MM)/CGM(Maintenance,Steel&Projects)/CGM-I/c(Works)/CGM(F&A)/ED

Notings : (SSP/SLM/MSO/GEN/2024/208)

SNo	Action By	Action	Comments
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1	MANOJ M , PNo: L000108 E7, GM I/c (MM)	Forward On 31-03-2025	Please check
2	SARAVANAN S , PNo: L001558 E4, SM(MM-PUR)	Forward On 03-04-2025	The proposal is forwarded for further approval please
3	PATRI PRATHIMA , PNo: C003320 E7, GENERAL MANAGER (PURCHASE)	Forward On 03-04-2025	Forwarded.
4	MANOJ M , PNo: L000108 E7, GM I/c (MM)	Forward On 05-04-2025	It is mentioned that RA quantity is subject to changes based on production requirement. However, the capping quantities are fixed. Based on the quantity capping quoted by the suppliers in FY25, the current values do not appear feasible. It is mentioned that "Upon successful techno-commercial evaluation, the new suppliers will be added to the list of "Empanelled Suppliers" and then RA shall be conducted". As per this statement, time of RA may be dependent on the techno-commercial evaluation of new suppliers. Para 8a, This is normal practice. The reason for inclusion of a standard practice is not clear. Para 8b, It would be advisable to take approval on a case to case basis as per PCP clause 9.3. Blanket approval is not recommended.
5	RAVI CHANDER DV , PNo: L000111 E8, CGM(MAINTENANCE, STEEL & PROJECTS)	Forward On 08-04-2025	May please clarify w.r.t comments at No.4, Forwarded.
6	THANIYARASU M N , PNo: D001022 E7, GM(SMS-OPN)	Forward On 08-04-2025	The capping quantities indicated in the task force recommendations pertain to the periodical tender quantities corresponding to the annual requirements that were arrived based on ABP for 2025-26. As per existing practice, approximately 30% of the tender quantities are indicated as the capping quantities. These are not fixed and will be modified during tendering as per the RA quantities indicated by SMS-O based on SMS production requirement. As per clause no.9.2.4 of PCP-2024, "Bid of the new vendor can be evaluated and in case the bid is found to be suitable, the same shall be considered for price bid opening / reverse auction along with the regular panel of suppliers in the subsequent price discovery cycle." This clause has been incorporated in the recommendations. Para 8 concerns delaying with defaulting suppliers. Hence, para 8a has been included in the recommendations to make it comprehensive. Para 8b has been recommended by the committee to deter non-serious vendors from participation in our tenders. However, approval for exclusion from participation in future tenders will be obtained on case to case basis. In view of the above, the proposal may be approved.
7	KANNAN S , PNo: L000153 E7, GM I/c (SMS)	Forward On 08-04-2025	Forwarded
8	RAVI CHANDER DV , PNo: L000111 E8, CGM(MAINTENANCE, STEEL & PROJECTS)	Forward On 08-04-2025	Forwarded for approval
9	MANOJ KUMAR NAYAK , PNo: L000099 E8, CGM I/c (WORKS)	Forward On 09-04-2025	Forwarded.

10	KISHOR JETHABHAI CHAUHAN , PNo: I000236 E8, CGM (F&A)	Forward On 09-04-2025	Forwarded:
11	PRABIR KUMAR SARKAR , PNo: B001402 E9, EXECUTIVE DIRECTOR	Approved On 10-04-2025	Approved

No. of attachments 8

Attached Files: 24-25- Approval-Scrap,Annexure-1-ABP-Scrap,Annexure-2and2A-Requirement-Scrap,Annexure-3-List-Of-vendors,Annexure-4-Technical-Specification,Annexure-5-Eligibility-Criteria,GM I/c (SMS) Office-Order,Task-Force-Recommendations-Scrap

Proposal Status Approved
(SSP/SLM/SMSO/GEN/2024/208)

Annexure - 2

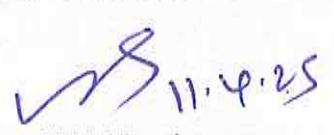
Indent Ref. No.: SMS/25/002

Cost Estimate - MS-Shredded Scrap

Sl. No.	Description	Unit	Value
1	Landed cost per MT excluding GST	Rs/MT	36,160
2	GST @ 18%	Rs	6,509
3	Landed cost per MT including GST	Rs/MT	42669
4	Quantity	MT	31000
5	Total estimated value including GST	Rs	1,32,27,32,800
6	Total estimated value excluding GST	Rs	1,12,09,60,000

Note:

1. The above estimate is based on the last purchase price vide AT ref.: A412032/F1,F2,F3 dated 24.03.25 placed on M/s KSJ Recyclers Private Limited, Chennai, M/s Shabro Metallic Pvt. Ltd. Chennai and M/s MTC Business Pvt. Ltd., Mumbai, respectively.
2. Last Purchase Price prevailing at that point of time shall be considered as the basis of estimate for every subsequent price discovery (RA).


GM I/c(SMS)
M.N. Thaniyarasu
GM (SMS-Opn)



STEEL AUTHORITY OF INDIA LIMITED
(A Government of India Enterprise)
SALEM STEEL PLANT
Salem - 636013, Tamil Nadu, India

ACCEPTANCE OF TENDER
PURCHASE/WORK ORDER
SSP GSTIN: 33AAAC87062F1ZL

A/T Ref No: A412032F1

A/T DATE: 24-03-25

GEM PO NO.

GEM PO DATE:

OUR ITT REF No. & DATE: A412032F, 17/02/2025

YOUR OFFER No. & DATE: A412032F, 27/02/2025

YOUR GSTIN: 33ABDCS2826U1Z0

SUPPLIER CODE : K00258
KSI RECYCLERS PRIVATE LIMITED
NEW NO 36 1&2
1ST FLOOR
KILPAUK
CHENNAI - 600010
SIKRECYCLERS@GMAIL.COM

Dear Sir,

We are pleased to award this contract on you for supply of materials detailed in the schedule below subject to terms, conditions and instructions of this Purchase Order (PO) read along with General Conditions of Contract mentioned in (i) Acceptance of tender terms & conditions (ii) SAIL P1 (visit our website: <https://sailtenders.co.in> for these documents) and other annexures. This acceptance of tender is issued in two copies. One copy of the same may kindly be signed by your authorized signatory as a token of your acceptance to this purchase/work order and return to us. Kindly arrange supplies/performance of work accordingly and send two sets of non-negotiable documents to the consignee/OA/EO of the contract after dispatching goods/completion of work. Any discrepancy in the PO with respect to your offer may be intimated within 10 days from the date of PO otherwise it shall be presumed that the supplier has acknowledged the receipt of this PO and agrees to all the terms & conditions mentioned therein.

S.no	Item Code Item Description	Order Unit	Quantity Ordered	Unit Rate (INR)	Discount per Unit	Item Value (INR per Unit with Taxes)	Total Value With Taxes INR	Credit
1	135010000304	MT	2400	36160	0	42668.8	102405120	Y
	MS SCRAP - SHREDDER							
Taxes and Duties	CGST : 9% SGST : 9% IGST : 0% UTGST : 0%							

Total No. of Items: 1

Total No. of Annexures: 2

Total Order Value : INR 102405120 (Rupees Ten Crore Twenty Four Lakh Five Thousand One Hundred And Twenty Only)

Terms and Conditions:

Delivery Terms :	F O R Salem Steel Plant	Mode Of Dispatch :	By Road
Delivery Schedule/Contract	Please refer note below	P & F Charges :	NO
Completion Date :		Freight :	Paid by the Supplier
Insurance :	By Supplier	Test Certificate Required :	NO
Sample Required :	NO		
Terms Of Payment :	100% payment within 15 days against receipt and acceptance		
Inspection Type :	At our end	MSME/SSI Indication :	YES
AT MODE :	REVERSE AUCTION		

SPECIAL TERMS & CONDITIONS

1.0 The following annexures forms integral part of this order

1.1 Specification as Annexure I

1.2 Proforma for Security Deposit Bank Guarantee (SDBG) format as Annexure II

2.0 Delivery: Supplier shall start supply and complete supply of one inspection for quantity within ten working days from the date of order. Supply shall be completed within 30 days from the date of order in phased manner as per SSP's production requirement.

3.0 Completion of ordered quantity (for last consignment): The supply of ordered quantity shall be treated as complete if the difference between the ordered quantity and supplied quantity is within (+/-) 15 MT or (+/-) 10% of the order quantity, whichever is lower.

4.0 Quantity Tolerance: Plus or Minus 25% as per Salem Steel Plant production requirement at the sole discretion of Salem Steel Plant.

5.0 The prices shall be kept firm till supplies are completed.

6.0 The supplier should submit SDBG for 3% of total order value within 15 days of order placement as per the proforma enclosed as Annexure-II. The SD shall be released only after completion of supply as per clause 3.0 above

7.0 All the remaining terms and conditions shall be as per RFQ reference no A412032F dated: 17/02/2025

8.0 For queries/clarifications pertaining to:

8.1 SRV/CRAC details: Shri. A Jagadish, AGM (SM-S), Ph:9443195572, email ID: ajg@sail.in

8.2 Bill Processing: Smt. SIKSARANYA R, AGM (F&A), Ph:9442144517, email ID: saranya@sail.in

8.3 Payment updation: Shri. SURAJIT SAHA, DM(F&A), Ph:9038896378, email ID: sahasurajit@sail.in

9.0 CC: M/s Mjunction Services Ltd, Chennai

For & on Behalf of SAIL - Salem Steel Plant

SARAVANAN S

SM(MM-P)

Phone No: 9442269375

Email: saravans@sail.in

Registered Office: Ispat Bhavan, Lodhi Road,

New Delhi - 110 003

Indent Refno. Date & Dept : SMS/23/07514-03-24/SMS - OPN

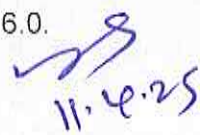
Indent Ref. No.: SMS/25/002

TECHNICAL SPECIFICATION FOR MS-SHREDDED SCRAP:**1.0 MATERIAL**

- a) Non-alloy MS-Shredded Scrap as per US ISRI code 211 consists of homogenous iron and steel scrap magnetically separated, originating from automobiles, unprepared No.: 1 and No.: 2 steel, miscellaneous bailing and sheet scrap with minimum average density of 1121.29 Kg per cubic meter (31.75 Kg per cubic foot)..
- b) Permissible limit for cast iron at loading place / seller's yard shall be 5% max. Permissible limit for **other impurities** like dust, rust, non-metallic, non-ferrous, oil, lubricant, grease, paint, wood, rubber, plastic, asphalt, chemicals, etc. at loading place / seller's yard shall be 1% max. Permissible limit of freely pickable copper at loading place / seller's yard shall be 0.25% max.
- c) If percentage of cast iron and/or other impurities and/or freely pickable copper exceeds the respective permissible limits, then inspection agency shall not allow loading of the Container/Truck at loading place / seller's yard. If average density is below the permissible limit, then also the inspection agency shall not allow loading of the Container/Truck.
- d) The scrap shall be totally free from toxic chemicals, radioactive materials, inflammables, explosives, organic matter originated from animals or plants with danger of epidemic diseases and medical waste.
- e) The scrap shall be totally free from bullets, bombs, arms, ammunitions, mines, shells, cartridges, sealed container, gas cylinders or any other war and explosive materials in any form either used or otherwise and also free of radioactive contamination and mercury contamination, etc. at loading place/seller's yard.

2.0 PRE-SHIPMENT INSPECTION (INDEPENDENT INSPECTION AGENCY)

- a) Pre-shipment inspection for quality of scrap at loading place / seller's yard is to be done by Govt. approved Third Party Inspection agency. Inspection charges are to be paid by the seller directly to the inspection agency.
- b) Inspection agency shall confirm that the material despatched conforms to the contracted specification, indicating Percentage of cast iron, Percentage of other Impurities, Average density, etc, and transporter's name, contact number, loading date, net weight of materials, tare weight of the truck, gross weight of the truck with materials.
- c) Inspection agency shall also give a certificate that the material shipped is totally free from hazardous toxic waste, radioactive contaminated waste/scrap containing radio-active material, any type of arms, ammunition, mines, shells, live or used cartridge or any other explosive material in any form either used or otherwise.
- d) In addition, buyer's representative may witness the quality of scrap at loading place / seller's yard at the time of loading for which the seller shall extend all co-operation.
- e) Inspection Agency shall certify that material has been inspected prior to stuffing in container or loading in trucks and the container/truck has been stuffed / loaded in their presence.
- f) All certificates issued by the inspection agency should be in the letter head of the Inspection agency's registered office address.
- g) Inspection certificate with exclusions like "Quality/weight/contract terms" not certified, etc. shall not be acceptable and payment will not be released for the despatches made with such certificates.
- h) Acceptance will be as per clause 7.0 after inspection as per clause 6.0.



11.4.25

- i) Packing List showing net weight of material, tare weight of container, gross weight of container with material, number of containers, shall be furnished for supplies in containers.

3.0 Tolerance on quantity to be supplied: +/- 10% of order quantity or 20 MT, whichever is lower, shall be used as supply quantity tolerance. If balance quantity of an order is less than the supply tolerance quantity, then the order shall be short closed.

4.0 Supplier shall complete the supply of one inspection lot quantity specified in the AT within a period of 7 working days from the start of delivery of material of each lot unless there is any written communication from SSP to stop the supply during the relevant period or force majeure clause is applicable. If the supplier fails to do so, then inspection shall be carried out for the accumulated quantity and penalty @ 1% of basic price shall be levied for the balance of the inspection lot quantity. This penalty shall be applicable to the particular lot only.

5.0 Supplier's representative shall be present during unloading of scrap. Vehicles will not be allowed inside SSP without presence of the supplier's representative.

6.0 Inspection at site:

- a) Approximately 250 MT of material shall be considered as one lot. One lot may be formed from material less than 250 MT or consignment from a single truck, based on production exigency or visual inspection of material, at the sole discretion of SSP.
- b) All the containers/trucks received at Open Scrap Yard of SMS in SSP will be visually inspected while unloading. Material will be collected randomly from each Truck/Container and kept separately in a collecting bin. From the collected material, approximately 1 to 2 MT of material will be taken as sample for segregation of other impurities and/or testing average density as given below.
- c) Average Density: Random testing of scrap to ascertain average density indicated in the Pre-despatch inspection certificate shall be done jointly with supplier's representative. Material for the test shall be taken randomly from the sample collected as per clause 6.0-b. The material to be tested shall be filled in a container of 1 cubic feet capacity using shovel. The container shall be shaken or tapped to ensure proper packing. Then weight of the box along with the test material shall be measured in an appropriate weighing scale of SSP. Weight per cubic foot thus obtained shall be noted. The above process shall be repeated using fresh test material. Average of the two results obtained thus shall be considered as average density of the lot which shall not be less than 33 Kg per cubic foot. If the average density is less than 33 Kg per cubic foot, then the lot will be rejected.
- d) Segregation of "Other impurities": Weight of the sample material will be weighed in SSP weighbridge. After the weighment, "Other impurities" in the sample material will be segregated manually as per the below procedure:
 - Empty weighment of the vehicle (tractor/ tipper) that will be used for transportation of sample for weighment shall be recorded.
 - Collected scrap sample shall be spread on tarpaulin sheet/ floor for segregation.
 - "Other impurities" shall be segregated from the heap of the scrap sample manually.
 - Fine particles will be segregated from the sample. The sample shall be subjected to sieving through 5 mm sieve initially and then through 1 mm sieve.
- e) The difference in weight will be taken for calculating the % of impurities. Final result of the above procedure with respect to the "Other impurities" shall be applicable for the whole lot.
- f) Manpower and vehicle required for sampling shall be at the scope of SSP.
- g) Joint Inspection for checking "other impurities": In case of any doubt regarding weight of "other impurities" arrived through weighment at PPC Weigh Bridge, the segregated impurities shall be weighed at the weighing scale available at Met. Services Laboratory in

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the presence of representatives from. Met. Services, MM-Stores, User Department and Supplier and this shall be final and binding.

7.0 Acceptance/ Rejection Criteria:

a) If any deviation is observed in the material during visual inspection at offloading site compared to the certification in pre-inspection certificate regarding clause 2.0 c), then the material in the whole container/truck will be rejected.

b) If the percentage of "other impurities" is within 1 %, then the entire lot quantity shall be accepted without penalty.

c) If the percentage of "other impurities" is more than 1 % but less than or equal to 5 %, then the material shall be accepted with penalty as detailed below:

Sl. No	Impurity percentage	Penalty
1	Greater than 1% and up to 2% (>1 and up to <=2)	2 % of Basic price / MT with GST for the entire lot.
2	Greater than 2% and up to 3% (>2 and <=3)	3 % of Basic price / MT with GST for the entire lot.
3	Greater than 3% and up to 4% (>3 and <=4)	4 % of Basic price / MT with GST for the entire lot.
4	Greater than 4% and up to 5% (>4 and <=5)	5 % of Basic price / MT with GST for the entire lot

d) If the percentage of "other impurities" is greater than 5%, then the entire lot quantity shall be rejected and supplier shall replace the lot quantity without additional cost to SSP.

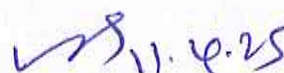
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MS Shredded Scrap – Eligibility Criteria

Sl. No.	CONTENTS
1	1.1 Documentary evidence supporting that the tenderer is a supplier of Iron / Steel Scrap in the form of company profile or product catalogue or copy of Central Excise Registration or Small Scale Industry registration or Factory License or other documents issued by Govt. Agencies shall be submitted along with the tender. Copy of GST Registration certificate shall be submitted by the tenderer along with the tender.
	1.2 Tenderers who have supplied Iron / Steel Scrap to SSP during the last 7 financial years without adverse quality and commercial issues are exempted from the above clause 1.1. However, they have to comply with other clauses.
2	2.1 Tenderer should have successfully supplied a minimum quantity of 1140 MT of MS-Shredded scrap to any industry (or) any MS-scrap to SSP in single or multiple lots. The quantity may have been executed through a single order or multiple orders in any one year during the last 7 financial years - i.e. from 2018-19 onwards and up to 2024-25 and from 01.04.25 to the last date of month previous to the month in which tender was floated in case of financial year 2025-26. Copies of purchase orders & invoices are to be submitted as proof of supply along with Techno commercial bid.
	2.2 In support of successful completion of Purchase Orders mentioned & submitted by the tenderer, the tenderer shall submit performance certificate from the purchaser or submit a "self-attested declaration" that the items supplied against the above Purchase Orders have no adverse report from the purchaser as on Bid submission date and that the above Purchase Orders are Regular Orders, and not trial orders.
3	3.1 The parties shall comply with the OM dated 23/07/2020 issued by Department of Expenditure, Ministry of Finance, and Government of India. The parties shall submit a self-declaration in their letterhead towards the compliance along with the offers.
Note: Tenderers who have supplied 1140 MT of MS-Scrap to SSP in any one year during the last 7 financial years as stated above without adverse quality or commercial issues are exempted from clauses 1 & 2. However, they have to comply with other clauses.	
4	4.1 To assess financial capability, the tenderer shall submit audited annual balance sheet and profit & loss account for any consecutive three years out of the last four financial years before the bid Invitation date and the average of turnover values for those three consecutive years shall be equal to or more than Rs.4.86 Crores . All the audited Profit & Loss accounts certified by Chartered Accountant after 01.07.2019, submitted by tenderer in support of turnover, should contain the Unique Document Identification Number (UDIN).
	4.2 PROVISION FOR FIRM(S) WHO HAVE STARTED BUSINESS SINCE LAST TWO YEARS. <u>Case-I</u> If Turnover value is in increasing trend, then the average of the two year Turnover values must be equal to or more than Rs.4.86 Crores . <u>Case-II</u> If Turnover value is in decreasing trend, then the lower of the two year Turnover values must be equal to or more than Rs.4.86 Crores .
	4.3 PROVISION FOR FIRM(S) WHO HAVE STARTED BUSINESS SINCE LAST ONE YEAR ONLY. 50% of the Turnover value must be equal to or more than Rs.4.86 Crores .
5	SSP reserves the right to call for original documents for verification at any time during tendering, evaluation and or the execution of the contract. In any case of any documents / information submitted by tenderer(s) is found to be false or containing any misrepresentation of having any fraudulent declaration in it, then in such eventuality, legal action (including cancellation of contract, banning of business dealing, damages, criminal proceedings etc.) as deemed fit may be initiated by SSP against the tenderer.

Note: Above eligibility criteria is based on the RA quantity which will be conducted once in a month (i.e. prorated monthly requirement, rounded off-i.e. 3800 MT) or as per production requirement. Quantity for each price discovery shall be regulated depending on the stock, pending supply and production requirement prevailing during each price discovery cycle.


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Indent Ref. No.: SMS/25/002 – MS Shredded Scrap

Delivery and Other Terms & Conditions

1.0 Payment term: Payment within 15 days upon acceptance supported by GARN/SRV.

2.0 Delivery term: F.O.R. Salem Steel Plant.

3.0 Delivery schedule:

Supply shall start within 10 days from date of order and shall be completed within 30 days from the date of order in a phased manner.

Note: The above schedule is indicative and may vary as per production requirement of SSP.

4.0 Price discovery shall be done once in a month or as per production requirement. Quantity for each price discovery shall be regulated depending on the stock, pending supply and production requirement prevailing during each price discovery cycle.

The above terms shall be incorporated in the commercial terms and conditions of RFQ.

5.0 Quantity tolerance:

a) Order placement: up to +/- 25% of tender quantity at the sole discretion of SSP.

b) Supply completion: up to +/- 10% of order quantity or 20 MT, whichever is lower.

6.0 Order Splittability:

Item quantity can be split as per MSE preference.

7.0 Order Distribution:

Order shall be placed on maximum three parties.

8.0 Security Deposit:

Security Deposit shall be obtained from supplier.

9.0 RA Frequency:

Once in a month or as per SSP's production requirement. Quantity for each price discovery shall be regulated depending on the stock, pending supply and production requirement prevailing during each price discovery cycle.


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Indent Ref. No.: SMS/25/002

Item: MS-Shredded Scrap - 135010000304

1 Last 3 years actual consumption, current stock, pending supply

Fin. Year	Consumption of MS-Shredded Scrap (MT)	Slab Production (MT)	No. of Converters	Specific Consumption (MT/ converter)
2022-23	24477	140050	23	1064
2023-24	25249	152493	24	1052
2024-25	32248	145891	24	1344
Average				1153

Stock @ SSP including site stock as on 11.04.25 2494 MT
Pending supply as on 11.04.25 281 MT
Total stock & pending supply as on 11.04.25 2775 MT

2 If proposed quantity has major deviation from consumption values, reason for the same.

MS-Scrap is one of the major raw materials required for steel making at SMS. Requirement of MS-Scrap is considered as per ABP for FY'2025-26 including buffer stock for 2 months. Since receipt of IPT scrap is very low, procurement of scrap from outside agencies has increased in the following proportion.

	Annual requirement (MT)	Buffer stock (MT)	Total (MT)
Shredded scrap: 30 % of annual MS Scrap requirement	25934	5403	31337
HMS scrap : 10 % of annual MS Scrap requirement	8645	1800	10446
Bundle scrap: 60 % of annual MS Scrap requirement	51869	10805	62675

3 Recommended vendors in case of LTE/Proprietary/STE

OTE is proposed

4 Proposed quantity and estimated value

Proposed quantity 31000 MT
Estimated value Rs. 1,32,27,32,800/-

5 Basis of Estimated Value

LPP vide AT ref. no. A412032/F1,F2,F3 dated 24.03.25 placed on M/s KSJ Recyclers Private Limited, Chennai, M/s Shabro Metallic Pvt. Ltd. Chennai and M/s MTC Business Pvt. Ltd., Mumbai, respectively

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